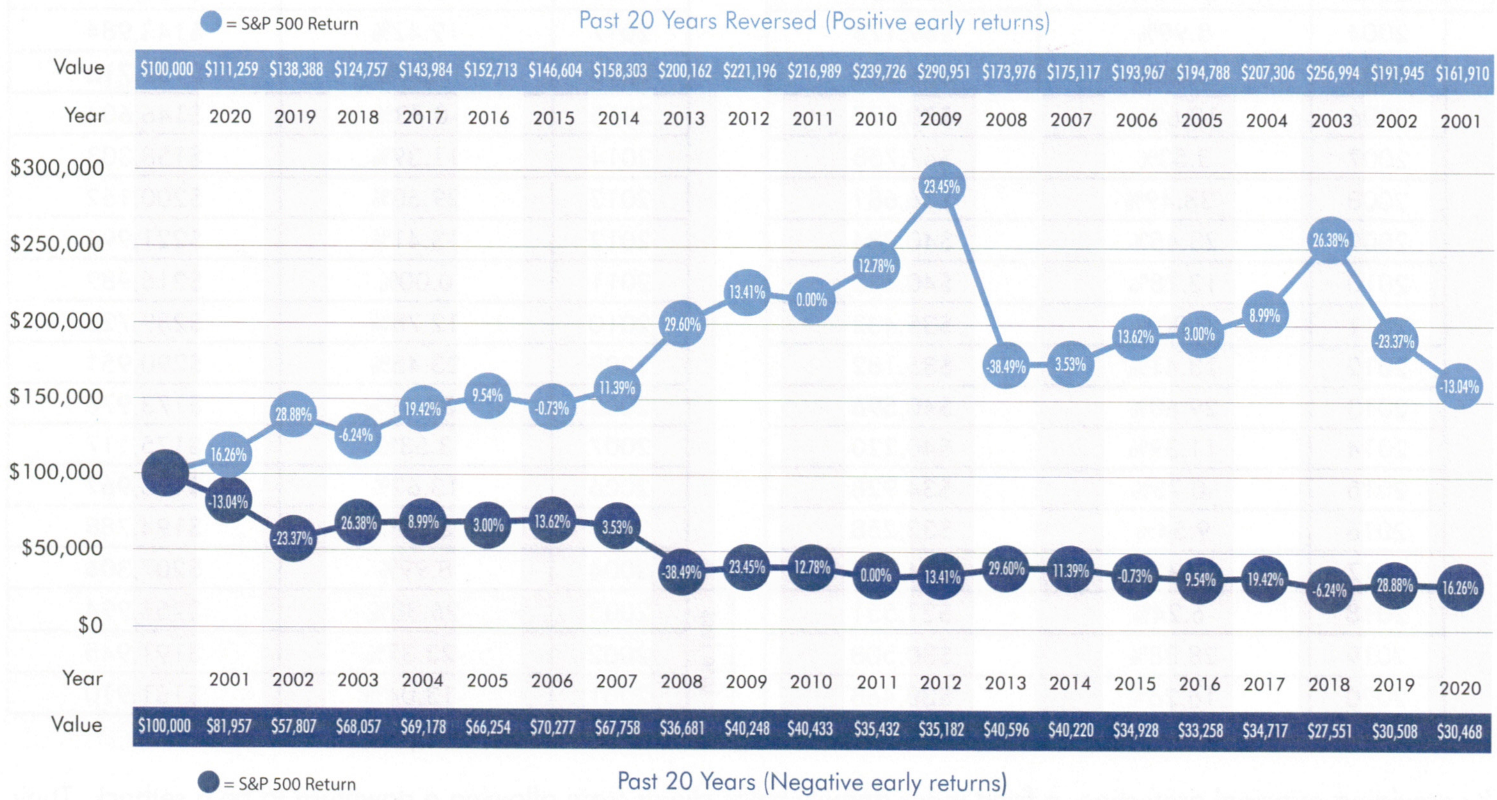
Sequence of Return Risk

The sequence of positive and negative returns over the course of a retirement can have a significant impact when a contract owner begins taking withdrawals. A downturn early in retirement may dramatically diminish a portfolio in the long run.

To demonstrate sequence of return risk, below are two hypothetical portfolios invested directly in the S&P 500® over a 20-year period (2000-2021). Each account begins with the same initial value of $100,000 and sees the same withdrawal of $5,000 annually. The only difference is late loss compared to early loss. The portfolio that incurred early loss ends with a value of $30,468, whereas the portfolio that did not ended with a value of $161,910.



This hypothetical example is not intended to represent any particular investment and assumes no fees or expenses.

As an insurance product, fixed index annuities are not directly invested in an index. This allows for principal protection from index losses that can draw down long-term income, while also allowing for interest growth with index-linked increases.

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Numbers Behind the Sequence

Everyone knows the market cycles up and down. Not everyone understands that when these changes occur, it could have a significant impact on their portfolio. The table below shows the annual returns over a 20-year period are the same. The difference is the order of returns, which have been reversed.

As you can see, an early downturn led to a significant decline that eroded the principal to $30,468 after 20 years. In the reverse, an up market helped sustain the principal with an ending value of $161,910 after 20 years.

Past 20 Years
(Negative early returns)

	Year	Invested without Principal Protection	
		S&P 500®	$100,000
Early Loss	2001	-13.04%	$81,957
Early Loss	2002	-23.37%	$57,807
Early Loss	2003	26.38%	$68,057
	2004	8.99%	$69,178
	2005	3.00%	$66,254
	2006	13.62%	$70,277
	2007	3.53%	$67,758
	2008	-38.49%	$36,681
	2009	23.45%	$40,284
	2010	12.78%	$40,433
	2011	0.00%	$35,432
	2012	13.41%	$35,182
	2013	29.60%	$40,596
	2014	11.39%	$40,220
	2015	-0.73%	$34,928
	2016	9.54%	$33,258
	2017	19.42%	$34,717
	2018	-6.24%	$27,551
	2019	28.88%	$30,508
	2020	16.26%	$30,468

Past 20 Years Reversed
(Positive early returns)

	Year	Invested without Principal Protection	
		S&P 500®	$100,000
	2020	16.26%	$111,259
	2019	28.88%	$138,388
	2018	-6.24%	$124,757
	2017	19.42%	$143,984
	2016	9.54%	$152,713
	2015	-0.73%	$146,604
	2014	11.39%	$158,303
	2013	29.60%	$200,162
	2012	13.41%	$221,996
	2011	0.00%	$216,989
	2010	12.78%	$239,726
	2009	23.45%	$290,951
	2008	-38.49%	$173,976
	2007	3.53%	$175,117
	2006	13.62%	$193,967
	2005	3.00%	$194,788
	2004	8.99%	$207,306
Late Loss	2003	26.38%	$256,994
Late Loss	2002	-23.37%	$191,945
Late Loss	2001	-13.04%	$161,910

This hypothetical example is not intended to represent any particular investment and assumes no fees or expenses.

By providing principal protection, a fixed index annuity helps clients from allowing a downturn to be a setback. Their principal will never decrease due to index volatility and it can grow tax-deferred until income is withdrawn. These are key benefits for providing long-term income in any market cycle.

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American Equity Investment Life Insurance Company®
6000 Westown Pkwy, West Des Moines, IA 50266

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